

Corporate Governance & Board Effectiveness Assessment

Risk & Compliance | ME-RC-2023-0312 | Kingdom of Saudi Arabia | November 2023

Engagement Overview

EY Middle East conducted a Board Effectiveness and Corporate Governance Assessment for a diversified Saudi conglomerate with interests in manufacturing, logistics, retail, and financial services. The group operates 14 subsidiaries with combined revenues of SAR 8.4 billion and is preparing for a potential IPO on the Saudi Exchange (Tadawul) in 2025.

The assessment was aligned with Saudi Corporate Governance Regulations (SCGR), CMA Guidelines, and international best practice frameworks including the OECD Principles of Corporate Governance and the UK Corporate Governance Code as adapted for GCC context. The engagement involved 28 Board and Executive interviews, review of 4 years of Board minutes, and analysis of 140+ governance documents.

Assessment Methodology

- Board composition and diversity analysis against SCGR requirements and international benchmarks
- Committee structure and effectiveness review (Audit, Risk, Remuneration, Nominations)
- Board information quality assessment - pack review, timeliness, decision analytics
- Director skills matrix review against group strategic priorities
- Executive remuneration structure analysis for alignment with shareholder value
- Related party transaction governance and disclosure review

Governance Maturity Scores

Governance Domain	Current Score	Benchmark	Gap	Priority
Board Composition & Independence	62/100	80/100	-18	Add 2 independent directors; women representation
Committee Effectiveness	71/100	82/100	-11	Audit Committee financial expertise; Risk Committee
Board Information & Reporting	55/100	78/100	-23	Board pack quality; forward-looking analytics; ESG
Executive Remuneration	68/100	75/100	-7	Long-term incentive alignment; clawback provision
Related Party Transactions	59/100	85/100	-26	Disclosure completeness; arm's length verification
Shareholder Rights & Engagement	74/100	80/100	-6	Minority shareholder communication programme

Key Findings

Board Independence: The current Board comprises 8 directors of whom only 2 (25%) are independent, compared to the CMA guideline of at least 50% for listed companies. The concentration of Board seats among founding family members creates governance risk and may deter institutional investors ahead of the IPO.

Related Party Transactions: EY reviewed 47 RPTs in the 2022-2023 period totalling SAR 1.2 billion. For 31 transactions (66%), there was insufficient documentation to confirm arm's length pricing. The RPT Policy has not been updated since 2018 and predates current CMA circular requirements.

Board Information Quality: Board packs are prepared by management and average 340 pages per meeting. External benchmarking data, scenario analysis, and forward-looking risk assessments are absent from 85% of Board information reviewed. Directors reported that strategic decisions are insufficiently supported by structured analysis.

IPO Readiness Recommendations

- Appoint minimum 4 independent directors with sector expertise by Q2 2024
- Establish a dedicated Nominations & Governance Committee with independent chair
- Overhaul RPT policy and implement Board-level pre-approval process with fairness opinions
- Redesign Board pack - reduce to 80-page maximum with strategic KPI dashboard
- Introduce long-term incentive plan (LTIP) aligned with IPO valuation milestones
- Publish first Governance Report and ESG disclosure in Annual Report 2024
- Conduct annual Board effectiveness evaluation by external independent assessor from 2024

Implementation Priorities

Initiative	Timeline	Responsibility	IPO Criticality
Independent director appointments (4)	Q2 2024	Chairman / Nominations Co	Critical
RPT Policy overhaul and CMA alignment	Q1 2024	General Counsel / Board	Critical
Board pack redesign and dashboard	Q3 2024	CFO / Company Secretary	High
LTIP design and Board approval	Q3 2024	Remuneration Committee	High
ESG baseline assessment and disclosure	Q4 2024	CEO / Sustainability Lead	Medium